on the contributions you've made. "Since you've already paid taxes on your contributions, you are free to withdraw them (but not any investment gains) at any time without an early withdrawal penalty," according to The Motley Fool's reporting on IRAs. "For this reason, Roth IRAs can be great ways to build up an emergency fund, as well as for retirement savings."

You maintain the account yourself (or with an accountant), without an employer, so it's useful for self-employed people. There's no age limit where you have to stop contributing or to take the money you contributed out, but you can't take out the money your investment *earns* until you've retired. The money you're *contributing* is separate from the money you're *earning* on your retirement investments in the IRA. (I know it's confusing. Read it again. I had to, and I wrote it.)

SEP IRA

This is what I have. Similar to the Roth, it's mainly used for self-employed people and business owners to act in place of an employer 401(k). The SEP and the Roth IRAs are similar, so if you're a freelancer or self-employed, do a little research on what works best for your career. According to The Motley Fool, the benefits of a SEP over a Roth are that SEP IRAs have higher contribution limits so those who have them can contribute more to their retirement. "Since contributions to a SEP are made on a pretax basis, you can get a nice tax deduction," the Fool reported.

The issue is that choosing requires a whole lot of guessing. Who among us knows what we want our life to look like in forty years? (If you do, I bow to you.) Or what our life will *be* like when we retire? This is what makes retirement planning so tough. How do you know if you'll be in a higher tax bracket when you retire? In forty years, your lifestyle could completely change. Taxes could completely change! We could all be living in space! Totally stressful and confusing!